COMPANY CONFIDENTIAL

MEETING OR CONTACT REPORT

	Date of Report: November 17, 1958
Organization & Location: Project 7000 - Poughkeepsie	Date: November 13, 1958
	Reported By: G. A. Blaauw
Project: (5) 7000 X Committee -- Investigation of Commercial Area above 705	Department: 539
	Follow-up Date:

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I. Subject

The commercial area for computers with performance better than the 705 was the subject of discussion.

II. The Transistorized 705

The proposed 7050 was described as having:

a. complete program compatibility with the 705 III
b. a main frame processing speed of 5 times 705 III
c. the ability to process the information to and from four 729 III channels.
d. a market forecast of about 75% 705 replacements (one or more machines) and 25% new machines, most of which are normal 705 market expansion.

III. The Commercial Market

It was agreed that a market gap exists for:

a. scientific applications: between 7090 and Sigma
b. commercial applications: above 705
c. integrated data processing: above 310

The commercial market is formed by:

a. installations having several 705's which would like to consolidate into a single machine.
b. normal expansion in a 705 installation due to added applications and greater workload (economic expansion)
c. the desire to combine several existing applications into one new application, requiring greater machine capacity.

It was noted that commercial applications tend to be more sensitive to price than technical applications and are easier limited by the number and size of applications.

IV. Desired Characteristics of a Commercial Computer

Desired characteristics for a future large commercial computer were listed as:

a. large memory capacity
b. SWIFT tapes, both on-line and off-line
c. large slow access memory
d. programming ease in input-output area (TRC is too hard to program)
e. Exchange-type input output control
f. read-only memory in view of its protection feature
g. externally decimal-alphabetic, internally any index
h. convenient handling of grouped records
i. memory to memory transmission
j. editing, format control for printing
k. no record mark restrictions
l. interrupt facilities for input-output
m. data transmission to other computers and for remote operation
n. convenient multiprogramming
o. convenient instruction counter storage
p. a computer which can be shared between the commercial and technical groups of a customer

V. IDP vs. Batch Processing

It was remarked that in-line processing should be possible where an economic advantage is obtained. It was not expected that inline processing would be less expensive than batch processing. However large random access memory and powerfull input-output is desirable for batch processing as well as in-line processing.

VI. Competitive Equipment

It was noted that no real competition exists in the large commercial area.

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